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Case Number: 25STCV30225 Hearing Date: June 23, 2026 Dept: 509

MOTION TO COMPEL ARBITRATION

MOVING PARTY: Defendants SP Plus Corporation and Metropolis Technologies

RESPONDING PARTY(S): Plaintiff Regina Perry

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

This is an employment action. Plaintiff Regina Perry (Plaintiff) worked for defendants SP Plus Corporation and Metropolis Technologies (collectively, Defendants). Plaintiff alleges wrongful termination among sixteen other causes of action stemming from alleged discrimination.

Defendants now move to compel Plaintiff to arbitrate the dispute. Plaintiff opposed.

On May 6, 2026, the Court continued the hearing and ordered "by 4:00 PM on 05/20/2026, the Defendant may file a supplemental declaration. Thereafter, by 4:00 PM on 06/10/2026, the Plaintiff may file a reply brief." (5/6/26 Minute Order.) On May 20, 2026, Defendants filed a supplemental declaration. On June 10, 2026, Plaintiff filed a supplemental declaration.

TENTATIVE RULING:

Defendants' Motion to Compel Arbitration is GRANTED. The action is stayed pending the results of the arbitration.

A Status Review/OSC re: Dismissal is set for June 23, 2027, at 8:30 a.m.

Moving parties to give notice, unless waived.

DISCUSSION:

Motion to Compel Arbitration

1. Legal Standard

"[T]he petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence" (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284). "In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration [citation]. The court should attempt to give effect to the parties' intentions, in light of the usual and ordinary meaning of the contractual language and the circumstances under which the agreement was made." (Weeks v. Crow (1980) 113 Cal.App.3d 350, 353.) "Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute." (California Correctional Peace Officers Ass'n v. State (2006) 142 Cal.App.4th 198, 205.)

"[A] party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284.)

"If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies. . . ." (Code Civ. Pro. §1281.4.)

2. Objections to Evidence

Plaintiff submit objections to the Declaration of Cole Yipon.

This Court is unaware of any legal authority which requires a court to rule on evidentiary objections on a motion, except as to a motion for summary motion/adjudication (Code Civ. Pro. § 437c, subd. (q)) or a special motion to strike (Code Civ. Pro. § 425.16, subd. (b)(2)); see also, Sweetwater Union High School Dist. v. Gilbane Building Co. (2019) 6 Cal.5th 931, 947-949.)

As such, this Court respectfully declines to rule on these objections. This Court is well aware of the rules of evidence, and to how much weight, if any, should be given to any of the proposed evidence.

3. Analysis

California has a strong public policy in favor of arbitration as an expeditious and cost-effective way of resolving disputes. "Even so, parties can only be compelled to arbitrate when they have agreed to do so." (Avila v. S. California Specialty Care, Inc. (2018) 20 Cal. App. 5th 835, 843.) "The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement." (Ibid.)

An arbitration agreement is a contractual agreement. "General contract law principles include that '[t]he basic goal of contract interpretation is to give effect to the parties' mutual intent at the time of contracting. [Citations.] ... The words of a contract are to be understood in their ordinary and popular sense." [Citations.] (Garcia v. Expert Staffing W., 73 Cal. App. 5th 408, 412-13.)

A. Existence of An Arbitration Agreement

a. Defendants' Initial Burden

Defendants have the initial burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (Gamboa v. Ne. Cmty. Clinic (2021) 72 Cal. App. 5th 158, 165.) “[I]t is not necessary to follow the normal procedures of document authentication.” (Condee v. Longwood Mgmt. Corp. (2001) 88 Cal. App. 4th 215, 218.)

The Declaration of Margarita Lopez, a Director, HRBP of Defendants states: “[a]ll onboarding documents generated through Pangea – including the Mutual Arbitration Agreement to Arbitrate All Claims signed by Plaintiff on May 20, 2016 (“Arbitration Agreement”) – were preserved as copies in employees’ personnel files. The copy of Plaintiff’s Arbitration Agreement attached hereto as Exhibit A is a true and correct copy of the agreement maintained in Plaintiff’s personnel file. SP Plus requires nearly all newly hired employees to review and electronically sign Arbitration Agreements as part of the standard onboarding process. The Arbitration Agreement is presented as a standalone document, clearly titled, and requires the employee to affirmatively review and electronically sign it before onboarding can be completed.” (Lopez Decl. ¶¶6-7.)

In relevant part, the Arbitration Agreement provides that “SP and I agree and acknowledge that we will utilize binding arbitration as the sole and exclusive means to resolve all disputes that may arise out of or be related in any way to my application for employment and/or employment, including but not limited to the termination of my employment and my compensation.” (Lopez Decl.; Exh. A, §1.)

The Agreement also expressly states that arbitration is to be governed by the FAA. (See Davis v. Shiekh Shoes, LLC (2022) 84 Cal. App. 5th 956, 963 [finding the FAA applies “if it is so stated in the agreement.”].) Defendants have therefore met its initial burden.

b. Plaintiff’s Burden

This switches the burden to Plaintiff, who “bears the burden of producing evidence to challenge the authenticity of the agreement.” (Gamboa, supra, 72 Cal.App.5th at 165.) Plaintiff can do this in “several ways,” including by “declar[ing] under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement.” (Ibid.)

In opposition, Plaintiff attests “Defendant SP Plus hired me on or around May 21, 2016 for the seasonal position of Parking Attendant at the Greek Theater in Los Angeles. As a part of my role at SP Plus, I was involved with onboarding new employees. During the time of 2016, everything was manually executed on paper. At the Greek Theater, the SP Plus office was very small, and only had one computer. If I had been asked to sign a document electronically in 2016 at that location, I would have had to come behind the desk to execute the document at the computer, which I did not do, as I was not permitted to sit there. There were no tablets in use at the Greek Theater at that time in the parking office.” (Perry Decl. ¶3.) “I reviewed the purported arbitration agreement sent by Ms. Lopez. I do not know her. I did not sign the arbitration agreement that was attached to her declaration. In 2016, my signature would have been in writing. I did not receive a paper or electronic copy of any arbitration agreement.” (Id. at ¶7.) “I contend that I did not execute this Agreement. I recall executing a number of documents manually at the time of hire, but did not execute this document.” (Id. at ¶8.)

Plaintiff has therefore met her burden to challenge the existence of the arbitration agreement.

c. Final Resolution

The burden lies on Defendants to “establish with admissible evidence a valid arbitration agreement between the parties.” (Gamboa, supra, 72 Cal.App.5th at p. 165.) In determining whether Plaintiff signed the agreement by a preponderance of the evidence, this Court must necessarily sit as the trier of fact and resolve evidentiary conflicts. (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284.) “[N]otwithstanding the public policy favoring arbitration, arbitration can be imposed only as to issues the parties agreed to arbitrate.” (Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771,

790.) “[N]o public policy favors requiring arbitration of issues that the parties have not agreed to arbitrate.” (Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324, 1331.)

In reply, Defendants turn to the declaration of attorney Cole Yipon, an associate at Paduano & Weintraub LLP, attorneys of record for Defendants SP Plus Corporation and Metropolis Technologies, Inc. (Yipon Decl. ¶1.) Attorney Yipon states he “obtained from Defendants a true and correct copy of Plaintiff Regina Perry’s (“Plaintiff”) personnel file including an electronically signed employment application from Plaintiff, dated May 11, 2016.” (Id. at ¶2.) He also attests to the personnel file containing other records such as a Form I-9 that was electronically signed alongside the arbitration agreement. (Id. at ¶¶3-5.) However, Yipon notes that “[t]his declaration is not offered to authenticate the exhibits or to establish the truth of their contents. Should the Court determine that additional foundational testimony is necessary, Defendants will seek leave to submit supplemental declarations from appropriate custodians attesting to the authenticity and accuracy of the above-referenced documents.” (Id. at ¶6.)

In *Ruiz v. Moss Bros. Auto Grp.* (2014) 232 Cal.App.4th 836, 844, (Ruiz) the issue was whether an electronic signature was the “act of” the employee. The employee did not recall signing the agreement and the employer provided only a Declaration from the employer’s business manager “offer[ing] her unsupported assertion that [the employee] was the person who electronically signed the 2011 agreement.” (Ibid.) The court held that “[i]n the face of [the employee’s] failure to recall electronically signing the 2011 agreement”, and the employer’s failure to adequately authenticate the agreement, the electronic signature “was insufficient to support a finding that the electronic signature was, in fact, ‘the act of’ [the employee].” (Ibid.; see Civ. Code, § 1633.9, subd. (a).) The court noted that authenticating an electronic document or signature is “not a difficult evidentiary burden to meet,” but that it was not met in that case. (Ruiz at p. 844.)

In *Espejo v. S. California Permanente Med. Grp.*, (2016) 246 Cal.App.4th 1047, 1053, (Espejo) the court came to the opposite conclusion of Ruiz, finding the employer had met its burden “by attaching to their petition a copy of the purported arbitration agreement bearing Espejo’s electronic signature.” (Id. at p. 1060.) Unlike in Ruiz, the Espejo defendant “had sufficiently security precautions regarding transmission and use of an applicant’s unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement.” (Id. at p. 1062.)

To rebut Plaintiff’s assertion that she did not sign the arbitration agreement, Defendants provide the Supplemental Declaration of Margarita Lopez. Lopez states “Based on my review of onboarding arbitration agreements maintained in SP Plus’s personnel records from the same general time period, the form of electronic signature appearing on Plaintiff’s arbitration agreement is consistent with the form used in those onboarding records.” (Lopez Decl. ¶6.) “Attached as Exhibit B is a true and correct copy of Plaintiff’s federal Form I-9, dated May 20, 2016, as maintained in her personnel file, and consistent with our practices there is an electronic signature for Plaintiff. Individuals who receive an offer of employment are required to complete Form I-9 to verify employment eligibility before commencing employment.” (Lopez Decl. ¶7.) “Attached as Exhibit C is a true and correct copy of Plaintiff’s Mutual Agreement to Arbitrate Claims, dated May 20, 2016 (“Arbitration Agreement”), as maintained in her personnel file, and as is consistent with our practices there is an electronic signature for Plaintiff. I have reviewed other signatures, and this is consistent with our onboarding practices. Execution is a required condition of employment for individuals receiving an offer of employment. Like Plaintiff’s I-9, this document is also signed and dated on the same date, and prior to Plaintiff’s hire date of May 21, 2016.” (Lopez Decl. ¶8.) “I am not aware of any policy or practice permitting managers, supervisors, or HR personnel to execute onboarding documents on behalf of employees, and Plaintiff’s personnel file contains no indication that any onboarding document was executed by anyone other than Plaintiff.” (Lopez Decl. ¶10.)

The Court finds this evidence persuasive. The evidence demonstrates Plaintiff would not have been allowed to begin work without signing the Agreement. The Form I-9 and employment application are signed with an electronic signature, around the same date, and contain information only Plaintiff would have access to.

In her supplemental declaration, Plaintiff states, “[t]he agreement does not bear my signature.” (Perry Supp. Decl. ¶5.) “It is my custom and practice to enter my full name on any electronically signed document or manually make my mark, as allowed, as seen on the other documents referenced in Ms. Lopez’s declarations and my declaration filed in this action.” (Perry Supp. Decl. ¶6.) “I recall executing a number of documents manually at the time of hire, but did not execute this document.” (Perry Supp. Decl. ¶9.) Indeed, Defendant’s supporting documents, such as the Form I-9, are signed in her full name while the

Arbitration Agreement is signed only with her initials.

Further, Plaintiff provides a document titled Agreement Regarding Confidentiality, signed March 9, 2022 (Confidentiality Agreement). (Perry Suppl. Decl., Exh. B.) This document bears Plaintiff's physical signature and not an electronic signature and was executed nearly eight years after Plaintiff's onboarding documents. (Ibid.) It appears Plaintiff is alleging the Arbitration Agreement is no longer valid because the Confidentiality Agreement supersedes the Arbitration Agreement.

This Confidentiality Agreement states:

Employee consents to the law of Illinois being applied to any matter arising out of or relating to this Agreement, without regard to its conflict of law principles. Further, Employee agrees and consents to the exclusive jurisdiction for any matter arising out of this Agreement or interpreting this Agreement in the state and federal courts of Chicago, Illinois. In the event of a breach or a threatened breach of this Agreement, by Employee, Employee acknowledges that the Company will face irreparable injury which may be difficult to calculate in dollar terms and that the Company shall be entitled to, in addition to remedies otherwise available at law or in equity, temporary restraining orders and preliminary injunctions and final injunctions without the posting of a bond enjoining such breach or threatened breach. Should the Company successfully enforce any portion of this Agreement before a trier of fact, the Company shall be entitled to all of its reasonable attorney's fees, expenses and costs incurred as a result of enforcing this Agreement against Employee.

[...]

Except as set forth in paragraph 9 below, with respect to the subject matter hereof, this Agreement is Employee's entire agreement with the Company, and it supersedes all previous oral or written understandings or agreements, if any, made by or with the Company regarding the same subject matter.

(Perry Suppl. Decl., Exh. B at §§6-7, emphasis added.)

However, this action is unrelated to the Confidentiality Agreement. First, the Confidentiality Agreement only applies to actions by Defendants against Plaintiff for her breach of the Confidentiality Agreement. The Confidentiality Agreement, by its express terms, does not apply in this action. Further, it does not supersede the Arbitration Agreement because the two agreements do not involve the same subject matter. The language of the Confidentiality Agreement is clear that it only "supersedes all previous oral or written understandings or agreements, if any, made by or with the Company regarding the same subject matter." (Perry Suppl. Decl., Exh. B at §7.) The Arbitration Agreement does not involve the same subject matter because the Agreement does not pertain to confidentiality or any other express terms of the Confidentiality Agreement. Therefore, the Confidentiality Agreement does not supersede the Arbitration Agreement, and the Arbitration Agreement is binding on the parties in this action.

In the end, considering the totality of the evidence before it, the Court finds that Plaintiff electronically signed the Arbitration Agreement presented. Therefore, the parties agreed to arbitration.

B. Defenses to Enforcement

Plaintiff argues the Agreement should be disregarded based on principles of unconscionability. Unconscionability has "both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. (Sanchez v. Valencia Holding Company, LLC (2015) 61 Cal.4th 899, 910.) Under California law, an arbitration agreement must be in some measure both procedurally and substantively unconscionable in order for the agreement to be unenforceable. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114 (Armendariz); De La Torre v. CashCall, Inc. (2018) 5 Cal.5th 966, 982.) "But they need not be present in the same degree. . . . [T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (Armendariz, supra, 24 Cal.4th at p. 114.)

1. Procedural Unconscionability

First, Plaintiff argues the agreement is procedurally unconscionable because it was a contract of adhesion—it was offered on “take-it-or-leave it-basis” as a condition of employment and he had no ability to negotiate its terms. Plaintiff alleges that this contract of adhesion should invalidate the Agreement. “The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” [Citation]. (Armendariz, supra, 24 Cal.4th at p. 113.)

Here, the Court agrees with Plaintiff that the dynamic here represents a classic contract of adhesion, but only to the degree that is typical in the employer-employee context. Therefore, the “take it or leave it” nature of the agreement is sufficient to establish “some degree of procedural unconscionability.” (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 915). This means the substantive terms of the agreement must be scrutinized to ensure they are not manifestly unfair or one-sided. (Ibid.)

2. Substantive Unconscionability

Plaintiff also contends the Agreement is substantively unconscionable. “‘Substantive unconscionability’ focuses on the terms of the agreement and whether those terms are ‘so one-sided as to ‘shock the conscience.’” (Kinney v. United HealthCare Services, Inc. (1999) 70 Cal.App.4th 1322, 1330.)

“[A]n arbitration agreement is lawful if it ‘(1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum. Thus, an employee who is made to use arbitration as a condition of employment ‘effectively may vindicate [his or her] statutory cause of action in the arbitral forum.’ [Citation.]” (Armendariz v. Foundation Health Psychcare Services, Inc., supra, 24 Cal.4th at p. 102.)

Here, Plaintiff alleges the arbitration provision fails the Armendariz test because it limits Plaintiff’s right to bring representative actions. (See Opp. at p. 9.) Plaintiff asserts that the inclusion of this term renders the Agreement fatally unconscionable.

A clause prohibiting employees from bringing class or collective actions is substantively unconscionable because “only employees bring [such claims] against employers.” (Navas v. Fresh Venture Foods, LLC (2022) 85 Cal.App.5th 626, 636.) Here, the Agreement states that: “All claims brought under this binding arbitration agreement shall be brought in the individual capacity of myself or SP. This binding arbitration agreement shall not be construed to allow or permit the consolidation or joinder of other claims or controversies involving any other employees, or permit such claims or controversies to proceed as a class action, collective action, private attorney general action or any similar representative action. No arbitrator shall have the authority under this agreement to order any such class or representative action. By signing this agreement, I am agreeing to waive any substantive or procedural rights that I may have to bring an action on a class, collective, private attorney general, representative or other similar basis. However, this arbitration agreement will not prevent me from participating in class actions lawsuits which may have been filed against SP and are pending at the time this agreement is executed.” (Lopez Decl.; Exh. A, §3.) This provision is therefore substantively unconscionable.

3. Severability

Given the substantive unconscionability, the Court must assess whether the portions of the Agreement which are substantively unconscionable are severable. Civil Code, section 1670.5, subdivision (a) provides general guidance regarding the severability of contract provisions:¿

If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.

The Armendariz Court, in determining whether an unconscionable provision in an employment contract was severable, elaborated:¿

Two reasons for severing or restricting illegal terms rather than voiding the entire contract appear implicit in case law. The first is to prevent parties from gaining underserved benefit or suffering undeserved detriment as a result of voiding the entire agreement. . . . Second, more generally the doctrine of severance attempts to conserve a contractual relationship if to do so would not be condoning an illegal scheme. [Citations.] The overarching inquiry is whether ‘the interests of justice . . . would be furthered’ by severance. [Citation.]”

(Armendariz v. Foundation Health Psychcare Services, Inc., supra, 24 Cal.4th at pp. 123-124.)¿

“Significantly, the strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement: Although ‘the statutes appear to give a trial court discretion as to whether to sever or restrict the unconscionable provision or whether to refuse to enforce the entire agreement[,] ... it also appears to contemplate the latter course only when an agreement is “permeated” by unconscionability.’[Citation]” (Dotson v. Amgen, Inc., supra, 181 Cal.App.4th 975, 986.)

Here, while the Agreement does contain terms that that are significantly substantively unconscionable, the provision is severable. Although section 3 and its restriction on representative actions is a significantly unconscionable term, the agreement, taken as a whole, is not “permeated” by unconscionability. Further, given “the strong legislative and judicial preference [] to sever the offending term and enforce the balance of the agreement” the Court, does so here. Therefore, section 3 to the Agreement is severed and stricken from the Agreement to limit the degree of substantive unconscionability. As a result, only a minimal amount of substantive unconscionability remains in the Agreement.

This, therefore, leaves us with only a minimal finding of both procedural and substantive conscionability. This is not enough under the sliding scale approach to invalidate the agreement as a whole.

Accordingly, Defendant’s Motion to Compel Arbitration is GRANTED.

IT IS SO ORDERED.

Dated: June 23, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.